

FREE MASTERCLASS · 2026 EDITION

The UK Deal Sourcing Masterclass

How to find, analyse, and package profitable UK property deals — the complete playbook used by professional deal sourcers.

WHAT'S INSIDE

- ✓ The 6 investment strategies every sourcer must understand
 - ✓ Where profitable deals actually come from (7 sourcing channels)
 - ✓ The exact numbers that decide whether a deal works
 - ✓ Article 4, lease traps and the due diligence that saves careers
 - ✓ How to package a deal investors say yes to
 - ✓ Compliance: the legal requirements most sourcers ignore
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Read this first

Deal sourcing is one of the lowest-capital entry points into UK property — and one of the most misunderstood. Done properly, a sourcer earns £2,000–£5,000 per packaged deal by doing the work investors don't have time for: finding opportunities, verifying the numbers, and presenting them professionally. Done badly, it's a fast way to burn your reputation and, in the worst cases, break the law.

This masterclass is the playbook we wish existed when we started. It covers the full journey: understanding the strategies investors actually buy, finding deals before they hit the open market, running the numbers with the rigour a lender would, spotting the traps that kill deals after exchange, and packaging everything into a document an investor can act on.

Everything here applies whether you're sourcing deals to sell to investor clients, or sourcing for your own portfolio. The skills are identical — only the exit differs.

Who this is for

- **New sourcers** building their first packaged deals and client list
- **Investors** who want to underwrite their own deals to professional standard
- **Estate agents and brokers** adding investment analysis to their offer
- **Anyone** tired of asking Facebook groups "is this a good deal?" and getting ten different answers

How to use it

Work through the modules in order the first time — each builds on the last. After that, Modules 4 and 5 (analysis and due diligence) are the ones you'll return to on every single deal. Print the checklists. Use them every time. The sourcers who last are the ones who never skip the boring steps.

SOURCER'S TIP — A note on tools

Throughout this guide we show you how to do everything manually first — every formula, every lookup, every check. Where a tool can save you hours, we'll say so honestly, including free government data sources and our own platform, Metalyzi, which we built because we got tired of doing this in spreadsheets. Nothing in this guide requires any paid tool to follow.

01 What Deal Sourcing Actually Is

The business model, who pays whom, and why professionalism wins

The business model in one page

A deal sourcer finds property investment opportunities, verifies them, and packages them for investors — in exchange for a fee. The fee is typically £2,000–£5,000 for standard buy-to-let or HMO deals, and £5,000–£20,000+ for larger portfolio or development opportunities. The investor pays because you've saved them the two things they lack: time and local knowledge.

The three sourcing models

Model	How it works	Typical fee
Packaged deal sale	You find and fully package a deal, then sell it to an investor client. The investor buys the property; you're paid a sourcing fee on exchange or completion.	£2,000–£5,000
Retained sourcing	An investor pays you a monthly retainer to source deals matching their criteria exclusively for them.	£500–£2,000/mo
Co-sourcing / JV	You find the deal and partner with an investor who funds it. You take a profit share instead of a fee.	10–50% of profit

Why investors pay for deals they could find themselves

They can't — not really. A working professional in London looking to invest in Greater Manchester doesn't know that one side of a street lets in days while the other side sits empty. They don't know which councils are consulting on Article 4 directions. They can't view five properties on a Tuesday afternoon. Your value is compressed local expertise, verified numbers, and speed. The moment your numbers can't be trusted, your value is zero — which is why Module 4 is the longest in this guide.

WATCH OUT — The reputation asymmetry

One inaccurate deal pack circulating in investor WhatsApp groups can end a sourcing business. One consistently accurate sourcer becomes the person every investor in the group recommends. There is no middle ground. Accuracy compounds.

What a professional deal pack contains

- Property details, photos and floor plan
- Full financial breakdown — every acquisition cost including correct SDLT
- Rental evidence: real comparable listings, not "local agent says"
- Sold-price evidence supporting the purchase price or BMV claim
- Strategy analysis: yield, cash flow, ROI for the intended strategy
- Risk disclosure: Article 4, lease length, condition, tenancy issues
- The sourcing fee, clearly stated, and your compliance details

We'll build each of these pieces through the rest of this masterclass.

02 The 6 Strategies Investors Buy

You can't source a deal until you know what your buyer is trying to achieve

Match the deal to the strategy

The most common sourcing mistake is finding a "good property" with no strategy attached. A perfect BTL is often a terrible flip. A great HMO street can be a dead SA market. Professional sourcers start with the buyer's strategy and work backwards.

Strategy	The play	What makes a deal 'good'	Key risk
BTL (Buy to Let)	Buy, let to a single household, hold long term.	Gross yield 6%+, positive monthly cash flow after ALL costs, solid rental demand.	Rate rises turning thin cash flow negative.
HMO	Let by the room to sharers. 2–3× the rent of a single let.	12%+ gross yield, strong room demand (students/professionals), licence obtainable.	Article 4 directions requiring planning permission.
BRRRR	Buy below market value, refurbish, rent, refinance to pull capital back out, repeat.	Genuine BMV purchase, refurb uplift $\geq 2\times$ cost, 70%+ capital recycled at refinance.	Down-valuation at refinance stage.
Flip	Buy, refurbish, sell for profit. No tenants.	Passes the 70% rule, £20k+ net profit after every cost including tax.	Refurb overruns and a cooling sales market.
SA / R2SA	Short lets (Airbnb-style). Own the property, or rent it with consent (Rent-to-SA).	Realistic occupancy at market average (usually 45–65%, not 85%), profitable at break-even occupancy.	Occupancy fantasy; missing landlord consent on R2SA.
Development	Build new or convert. Highest risk, highest reward.	20%+ profit on GDV, land bought at or below residual land value, finance at $\leq 65\%$ LTGDV.	Planning refusal; construction cost inflation.

SOURCER'S TIP — Sourcing implication

When a new investor client says "find me a deal," your first questions are: What strategy? How much capital? What's your monthly cash flow target? Hands-on or hands-off? Their answers define your search. A sourcer who asks these questions sounds professional before they've sourced anything.

A note on strategy stacking

Experienced investors increasingly combine strategies: BRRRR into an HMO exit, or a flip that becomes a hold if the sales market softens. When you package a deal, showing how it performs under two strategies ("as a single let it does X; as a 4-bed HMO it does Y") makes the pack dramatically more valuable — the investor sees optionality, not just a property.

03 Where Deals Actually Come From

Seven channels, ranked by effort and edge

The sourcing channels

There is no secret deal vault. Every sourcer draws from the same channels — the edge comes from speed, relationships and the willingness to do unglamorous work consistently.

Channel	How it works	Edge level
Rightmove / Zoopla — reduced & stale listings	Filter for price-reduced properties and listings 8+ weeks old. Motivated agents, motivated vendors. Offer below asking with justification.	Low edge, high volume — where everyone starts
Agent relationships	Become the person local agents call before a listing goes live. Requires proof you complete: fast decisions, no messing about.	High edge once earned
Auctions (traditional & modern method)	Below-market entry, but legal packs hide traps. Never bid without reading the legal pack and pricing the risks.	Medium-high edge
Direct to vendor (D2V)	Letters/leaflets to probate properties, landlords selling up, empty homes (check the council's empty-property register). Highest BMV potential.	Highest edge, highest effort
Landlord exits	Regulation and tax changes push landlords out. Portfolio sales often go at a discount for a fast, clean, tenanted purchase.	High edge — growing channel
Probate & repossessions	Executors and lenders want speed and certainty over top price.	Medium-high edge
Networking (PIN, auctions rooms, investor groups)	Deals surface in rooms before portals. Also where your future buyers are.	Compounding edge

What "below market value" really means

BMV is the most abused phrase in UK property. A property is only below market value if comparable **sold** prices (not asking prices) prove it. Asking prices are marketing; Land Registry sold prices are evidence. When you claim BMV in a deal pack, you must show the sold comparables that support it — same street or immediate area, same property type, sold within 12–18 months, adjusted for condition.

SOURCER'S TIP — Free data every sourcer should bookmark

HM Land Registry sold prices (free, gov.uk) · EPC register (free, gov.uk) · planning portals for every council (free) · postcodes.io for area data (free). The professionals aren't using secret data — they're using public data faster and more systematically than everyone else.

The motivated vendor conversation

Price follows motivation. A vendor who needs certainty (probate, divorce, emigration, chain break, landlord fatigue) will trade price for speed and reliability. Your job in a D2V conversation is to understand their real problem — it is rarely "get the highest possible price" and usually "make this stop being my problem by a specific date." Solve that, and a genuine BMV purchase becomes a fair exchange, not a trick.

04 Analysing the Deal: The Numbers That Matter

The module that separates professionals from amateurs

Run every deal through the same machine

Amateurs analyse deals differently each time, in their head, with whichever numbers come to hand. Professionals run every deal through the same sequence, in writing, every time. Here is that sequence.

Step 1 — The full acquisition cost

The purchase price is the start, not the total. Every deal pack must show:

- Purchase price
- SDLT — at the correct rates for the buyer type (see table below)
- Legal fees (£1,200–£2,000 typical)
- Survey (£400–£1,500 depending on level)
- Broker and lender fees
- Refurbishment budget with contingency (Module 5)
- Sourcing fee (yours — disclosed, always)

SDLT rates — investment buyers (England & NI, April 2025)

Band	Rate (incl. 5% surcharge)
£0 – £125,000	5%
£125,001 – £250,000	7%
£250,001 – £925,000	10%
£925,001 – £1.5m	15%
Over £1.5m	17%

Worked example: a £200,000 investment purchase = (£125,000 × 5%) + (£75,000 × 7%) = **£11,500**. Miss this in a deal pack and you've misstated the investor's capital requirement by five figures. On blocks of 6+ units, Multiple Dwellings Relief or non-residential rates can cut SDLT dramatically — flag it and tell the buyer to confirm with their solicitor.

Step 2 — Income, verified

Never use the agent's rental opinion as your only evidence. Pull live comparable listings for the same property type in the same postcode district; for HMOs, pull room-level comparables (SpareRoom is the market); for SA, use actual market occupancy data — most areas average 45–65% occupancy, not the 80%+ that ruins projections.

Step 3 — The cost stack nobody skips twice

Cost	Typical assumption
Mortgage	Interest-only at current BTL rates; stress test at +2%
Void periods	2–4 weeks/year single let; per-room for HMOs

Cost	Typical assumption
Management	10–12% single let · 12–15% HMO · 15–25% SA
Maintenance	10% of gross rent (more for older stock)
Insurance	£300–£450 single let · £800+ HMO
Bills (HMO)	£250–£400/month — included rent is the norm
Licensing (HMO)	£500–£1,500, amortise over 5 years
Ground rent / service charge	Leasehold only — verify from the lease

Step 4 — The four verdict numbers

- **Gross yield** = annual rent ÷ purchase price. A screening number only.
- **Net yield** = (annual rent – all annual costs) ÷ total money invested. The honest number.
- **Monthly cash flow** = monthly rent – every monthly cost. The number that pays the bills.
- **Cash-on-cash ROI** = annual net income ÷ total cash invested. How hard the money works.

A 9% gross yield deal can lose money every month once the full cost stack is applied. The gross number gets attention; the net numbers get the truth.

Step 5 — Stress test before you present

Re-run the cash flow at: interest rate +2%, void doubled, rent –10%. If the deal only works in perfect conditions, it isn't a deal — it's a hope. Show the stress test in your pack; serious investors are more persuaded by honest downside analysis than by a perfect headline.

SOURCER'S TIP — Doing this at speed

Everything above can be built in a spreadsheet — and you should build one at least once, because it forces you to understand every line. In practice, running this full sequence manually takes 2–4 hours per property, which is the real reason most sourcers cut corners. This is exactly why we built **Metalyzi** (metalyzi.co.uk): paste a Rightmove link and it runs the entire sequence — correct SDLT, full cost stack, live rental and sold comparables, stress testing and a scored verdict — in about sixty seconds, across all six strategies. There's a free tier, so you can sanity-check your manual numbers against it on your next deal. Use whichever method you'll actually stick to on every deal — consistency matters more than the tool.

05 Due Diligence: The Deal Killers

The checks that protect your investor — and your reputation

Where deals die after exchange

Every experienced investor has a story about the deal that looked perfect until one unchecked detail destroyed it. Your job as a sourcer is to find that detail first.

Article 4 directions — the HMO trap

Councils can remove permitted development rights for converting a house (C3) to a small HMO (C4). Where an Article 4 direction is active, HMO conversion needs full planning permission — 8–16 weeks minimum, £2,000+ in costs, and refusal is a real possibility where HMO density is already high. Article 4 is active across large parts of Manchester, Salford, Leeds, Birmingham, Bristol, Sheffield, Liverpool, Newcastle, Oxford, Cambridge and many London boroughs — and new directions are consulted on constantly.

Check the council's planning policy pages for every HMO deal, every time — directions change, and last year's answer may be wrong today. (Metalyzi flags Article 4 status automatically on every analysis, which is the single feature our HMO users say has saved them the most money — but however you check it, check it.)

Leasehold — the mortgage killer

Years remaining	Reality
125+	No issue
85–125	Fine today; extend before it drops below 85
70–85	Fewer lenders, worse rates, resale friction
Under 70	Most lenders decline. Extension costs £5k–£30k+. Price it or walk.

The full pre-offer checklist

- Sold comparables pulled (Land Registry) — purchase price justified in writing
- Rental comparables pulled — income assumption evidenced with real listings
- Article 4 / planning policy checked with the council (HMO & SA deals)
- Tenure confirmed; if leasehold: years remaining, ground rent, service charge from the lease
- EPC rating checked (minimum E to let legally; C proposals on the horizon)
- Flood risk checked (gov.uk flood map)
- For flats: cladding / EWS1 status confirmed for buildings over 11m
- Refurb estimate based on viewing/photos with 15–20% contingency
- For tenanted purchases: tenancy agreements, deposit protection, rent arrears verified
- Full cost stack and stress test completed and written down

WATCH OUT — The condition trap

Listing photos are marketing. Wide-angle lenses hide small rooms; careful framing hides damp patches and the fuse box from 1974. Always view before you package, and always budget a contingency. Underestimated refurb costs are the number one killer of BRRRR and flip returns.

06 Packaging Deals Investors Say Yes To

Presentation is the difference between £0 and £3,000

Anatomy of a deal pack that sells

Two sourcers find the identical property. One sends a WhatsApp message with a Rightmove link and "great yield, 8%!!". The other sends a clean PDF with verified numbers, comparable evidence, honest risk disclosure and a clear next step. Same deal — only one gets paid, and only one gets the investor's next instruction.

The structure

Section	What it must contain
1. Summary page	Property, price, strategy, the 3–4 headline numbers, your fee
2. The property	Photos, floor plan, condition honestly described
3. The numbers	Full acquisition cost (correct SDLT), full monthly cost stack, net cash flow, yield, ROI
4. The evidence	Sold comparables AND rental comparables — real listings, not opinions
5. The risks	Article 4, lease, condition, tenancy, market — disclosed, with mitigations
6. The plan	Refurb scope if any, timeline, exit/refinance route
7. Next steps	Viewing, reservation process, your fee terms, your compliance details

Why the risk section makes you money

Counter-intuitively, the risk section is the most commercially powerful page in the pack. Sophisticated investors assume every deal has risks; a pack that discloses none reads as either naïve or dishonest. A pack that says "Article 4 is active here — planning permission is required for HMO use, budget £2,500 and 12 weeks, and here's why the deal still works" reads as professional. You're not selling perfection; you're selling trustworthy analysis.

SOURCER'S TIP — On producing the pack itself

Build your first packs manually — a clean document template with the seven sections above is enough. As volume grows, the packaging step becomes your bottleneck: this is the other half of why Metalyzi exists. Its Deal Package export turns a completed analysis into a branded, lender-ready PDF report (summary, verified numbers, comparable evidence, risk flags, disclaimer) in one click. Sourcers charging £3,000 a deal use it to cut packaging from a day to minutes. But the structure above is the point — however you produce it, produce all seven sections, every time.

Pricing your fee

Standard packaged BTL/HMO deals: £2,000–£3,500. Complex deals (BRRRR with refurb management, blocks, developments): £5,000+. Charge on exchange, or split reservation/completion. Undercutting to £500 signals amateur; investors read fee level as a quality signal. Your fee is justified by the hours of

verified work in the pack — which is another reason the pack must actually contain verified work.

07 Compliance: The Part Everyone Skips

The legal requirements that make you a professional — and keep you trading

Yes, this applies to you

Deal sourcing sits within the legal definition of estate agency work under the Estate Agents Act 1979. That triggers real obligations. Most new sourcers don't know this; the good ones treat compliance as a selling point.

The five requirements

Requirement	What it means
Property redress scheme	Mandatory membership of The Property Ombudsman (TPO) or the Property Redress Scheme (PRS). ~£200–£300/year.
ICO registration	You process client personal data — register with the Information Commissioner's Office. ~£40–£60/year.
AML registration	Sourcers conducting estate agency work must register with HMRC for Anti-Money Laundering supervision and verify client identity.
Professional indemnity insurance	PI insurance covering your sourcing activity. Investors increasingly ask for proof.
Clear terms & fee disclosure	Written terms with every client; fees disclosed before commitment; no hidden kickbacks from vendors without disclosure.

COMPLIANCE NOTE — Turn compliance into marketing

Put your TPO/PRS membership number, ICO registration and PI insurance on every deal pack. The majority of sourcers can't — which makes the ones who can look immediately more credible to serious investors. Compliance costs roughly £600–£1,000/year in total: less than half of one sourcing fee.

What you must never do

- Provide regulated financial advice (recommend mortgages/products) without FCA authorisation
- Take reservation fees without written terms and a clear refund policy
- Claim BMV without sold-price evidence you can produce on request
- Pass off another sourcer's deal or pack as your own
- Handle client money without proper client account arrangements

None of this guide is legal advice — before trading, spend an hour with a solicitor who knows the sector. It's the cheapest insurance you'll ever buy.

08 Your First 90 Days

A concrete plan from zero to first packaged deal

The 90-day plan

Days 1–30 — Foundations

- Choose your patch: one town/city you can reach in under an hour, and learn it street by street
- Set up compliance: redress scheme, ICO, AML registration, PI insurance quotes
- Build your analysis system: spreadsheet or platform — and commit to using it on every deal
- Analyse 20 live listings for practice (don't offer — just build the muscle)
- Join 3 investor communities and one local networking event (PIN or similar)

Days 31–60 — Pipeline

- Introduce yourself to 10 local letting/estate agents as a serious, completing buyer's representative
- Start one direct-to-vendor channel (reduced listings follow-up or a small D2V letter campaign)
- View 10 properties; produce a full practice deal pack for the best 3
- Share one anonymised analysed deal per week in investor communities — give value first
- Have criteria conversations with 5 potential investor clients (strategy, budget, cash flow target)

Days 61–90 — First deal

- Negotiate on 3–5 properties (most will fall through; that's the game)
- Package your strongest deal to full Module 6 standard
- Present it to your warm investor list with honest risk disclosure
- On acceptance: written terms, reservation process, fee on exchange
- Debrief: what took longest? Systemise it before deal two.

The compounding truth

Deal one is the hardest deal you will ever source. By deal five you have testimonials, agent relationships, a repeatable analysis system and investors asking what's next. The sourcers who fail are almost never short of deals — they're short of consistency in the boring middle: the analysis, the due diligence, the packaging. Master the machine in Modules 4–6 and the rest is repetition.

09 The Sourcer's Toolkit

Every resource referenced in this masterclass, in one place

Free data sources (bookmark all of these)

Resource	Use it for
HM Land Registry Price Paid Data	Sold comparables — the only real BMV evidence
EPC Register (gov.uk)	Energy rating and legal lettability
Council planning portals	Article 4 directions, planning history, HMO policy
gov.uk flood map	Flood risk on every deal
postcodes.io	Free postcode/area data
SpareRoom	HMO room-rate evidence
Rightmove / Zoopla sold sections	Recent sales with photos for condition context

Analysis & packaging

A spreadsheet you built yourself — do this once, whatever else you use. Understanding every formula is non-negotiable.

Metalyzi (metalyzi.co.uk) — our platform, included here because we built it for exactly the workflow in this guide: paste a listing link, get the full Module 4 analysis (correct SDLT, cost stack, live comparables, Article 4 check, stress testing, deal score) across all six strategies, plus the Module 6 deal-pack PDF export. Free tier available; no card required. If this masterclass was useful, it will feel familiar — the platform is this playbook, automated.

Free tools on Metalyzi regardless of plan: the SDLT calculator (metalyzi.co.uk/tools/sdlit-calculator) and portfolio tracker are free for everyone — handy even if you never run a full analysis.

Communities & education

- Property Hub forum and podcast — the UK's most sensible free education
- PIN (Property Investors Network) — monthly meetings in most cities; where buyers are
- NRLA — landlord compliance resources worth reading even as a sourcer
- Local auction rooms — attend three before you ever bid

Final word

Everything in this masterclass is learnable, and none of it requires capital to start — only consistency. Analyse deals every week whether or not you're buying. Check the traps every time. Package honestly. The UK has 2.8 million landlords and a constant flow of investors who need exactly what a professional sourcer provides. The market isn't the constraint. The machine is — and now you have the blueprint for it.

Good sourcing.

— The Metalyzi Team

PUT THIS PLAYBOOK TO WORK

Analyse your next deal in 60 seconds

Metalyzi runs the full Module 4 analysis — SDLT, cost stack, live comparables, Article 4, stress testing and a scored verdict — for all six strategies, then exports the Module 6 deal pack as a professional PDF.

- ✓ Free to start — 3 analyses per month, no card required
- ✓ Free SDLT calculator & portfolio tracker for everyone
- ✓ Built by investors, in the UK, for UK deals

metalyzi.co.uk

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